

REGULATED VS. DEREGULATED ENERGY MARKETS

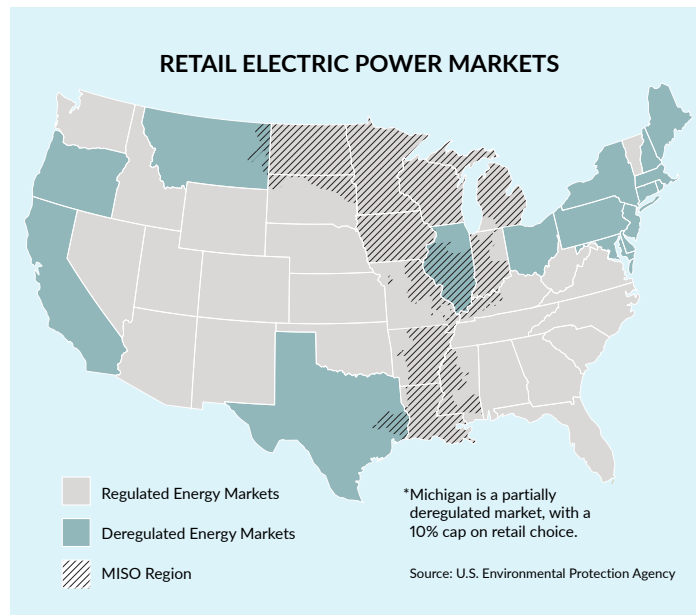
How regions plan for future electricity supply varies.

Most of the central United States is served by **regulated energy markets**. About 90% of MISO's footprint is served by load serving entities such as vertically integrated utilities, municipal utilities, and cooperatives. In these states, utilities are required by state regulators or member boards to make sure they have enough power plants and other resources to reliably meet customer demand.

By contrast, in **deregulated energy markets**, no regulator directly requires any single company to build enough generation to serve demand. Instead, the market is expected to create financial incentives for new power plants to be built. Reliability in these markets depends heavily on whether those market signals are strong and predictable enough to attract long-term investment.

While no system is perfect, regulated energy markets are less vulnerable to the resource adequacy challenges seen in purely market-driven regions.

In regulated energy markets, utilities are required to plan ahead and ensure they have enough generation to meet demand. They don't wait for market signals; they build because regulators require it.



STRUCTURED STAKEHOLDER PROCESS ENSURES TRANSPARENT, COLLABORATIVE DECISION-MAKING

Reliability in our region is a shared responsibility. MISO works hand-in-hand with the Organization of MISO States (OMS), our member utilities, and state regulators to understand challenges from multiple perspectives and make stronger decisions for the grid and the customers who rely on it every day.

Transparency is central to how we work. MISO holds public board meetings and runs an open, structured stakeholder process where anyone can follow the discussions, weigh in on proposals, and understand how decisions are made. That openness helps build trust and ensures we're incorporating the expertise and perspectives of utilities, states, consumer advocates, and many others.

By engaging early and often, and keeping the process transparent, we can anticipate risks, adapt quickly to changing conditions, and stay aligned on long-term needs. It's a structure that positions the entire MISO footprint for success, today and as the energy landscape continues to evolve.